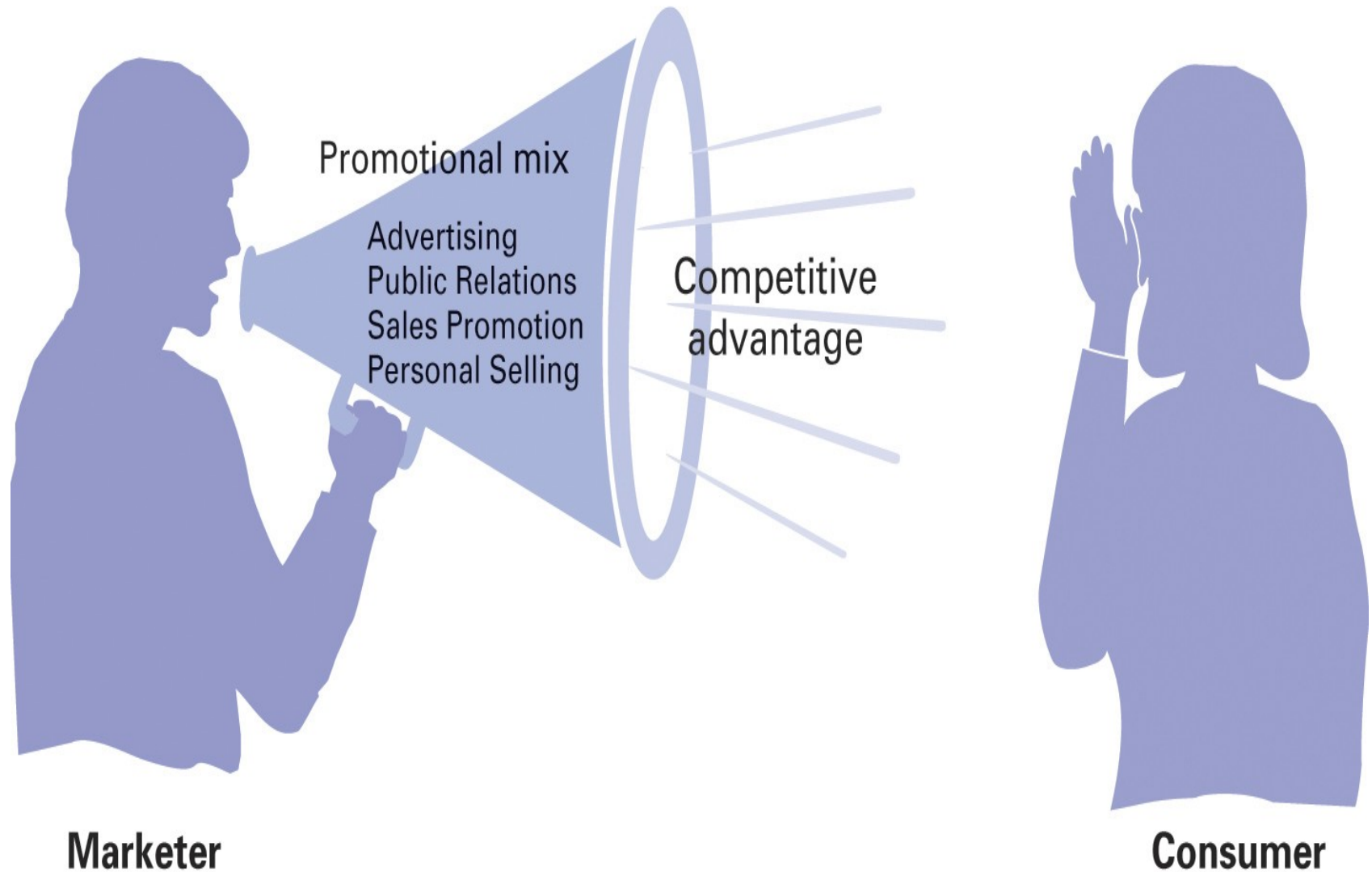


Chapter-5

Promotion Strategy in International Context

Promotional Strategy



Promotion Mix in International Context

- *Promotion mix is a combination of various promotional tools & strategies that a company uses to promote its product or service to its target audience.*
- *It is a set of different promotion tools and strategies that a company uses to communicate with its target market & promote its products or services.*
- *Promotion is communications by marketers that informs, persuades, & reminds potential buyers of a product in order to influence their opinions.*
- *Promotion include all efforts by an international firm to enhance the desirability of its products among potential buyers.*
- *Purpose: to communicate with buyers & influence them.*
- *The international marketer must choose a proper combination of the various promotional tools - **advertising, personal selling, sales promotion, and public relations** to create images among the intended target audience.*
- *The choice of promotional mix elements depends on the target audience, firm's objectives, the products or services marketed, the resources available and the availability of promotion tool in a particular market.*

Personal Selling

- *Personal selling is an oral presentation in a conversation with one or more prospective buyer for the purpose of making sales.*
- *It is a personal presentation by the firm's sales force for the purpose of making sales & building customer relations.*
- *It is two-way, personal communication between a company representative and a potential customer.*
- *It is a marketing strategy that involves face-to-face communication between salespeople & potential customers.*

Personal Selling Vs. Advertising

- *Advertising relies on a non-personal means of contact & sales presentation.*
- *Advertising is a **one-way communication process**, whereas personal selling is a two-way communication process with immediate feedback.*

Public relations

- Public relations (PR) is a systematic effort to build relationships between an organization and its various stakeholders.
- **Public relations** consist of efforts aimed at enhancing a firm's reputation and image with the general public.
- *It is any efforts to create & maintain goodwill & reputation of the company through positive media coverage & communications with other stakeholders.*
- *Company PR to foster goodwill and understanding among inside and outside the company.*
- *The PR department attempts to generate favorable publicity about the company and its products and brands.*
- *The PR department must manage corporate communications when responding to negative publicity.*
- *The most important PR tools are press releases, media kits, interviews, and tours.*
- *Public relations is also responsible for providing accurate, timely information, especially in the event of a crisis.*
- *PR are intended to enhance a firm's reputation & image with the general public.*
- The ultimate goal of PR is to create a positive image of the company that will result in increased customer loyalty, increased sales, and improved relationships with other stakeholders.

Sales Promotion

- *Sales promotion is a short-term incentive activity designed to stimulate/encourage consumers to make a purchase.*
- *It is the **short term incentives** given to the customers to have an increased sale for a given period.*
- *Sales promotion is temporary in nature.*
- *Sales promotion schemes:- discount, payback offers.*

Advertising

- *It is defined as any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor.*
- *It is a non-personal form of communication that uses various media (print, radio, television, digital) to reach a large audience.*
- *Advertising is a sponsored, paid message that is communicated through non-personal channels.*
- *To advertise overseas, a company must determine the availability (or unavailability) of advertising media.*
- *Advertising media includes: Television, Radio, Newspapers, Magazines, Direct mail, Outdoor, Internet.*

Advertising standardization vs. local adaptation

- *Standardized international advertising is the practice of advertising the same product in the same way everywhere in the world.*
- Advertising standardization is the approach of using the same advertising messages and creative content across all markets, regardless of cultural differences or local market conditions.
- *A standardized advertisement is an advertisement that is used internationally with no change other than translation.*
- *The standardization school, also known as the universal, internationalized, common, or uniform approach.*
- *Local adaptation also known as the non-standardization, specificity, individualization, customization approach.*
- *Local adaptation involves changing advertising messages & creative content to suit the specific cultural, & market conditions of each market.*

Advertising and regulations

- *Local regulations can have a significant impact on advertising.*
- *Advertising can be affected by **local regulations** in several ways.*
- *The availability of media (or lack of it) is one example.*
- ***When and how** much media, **time and space** are made available, is determined by local authorities.*
- *EX. Belgium prohibits the use of electricity for advertising purposes between midnight and 8 a.m.*
- *German laws regulate TV advertising contents and limit advertising on the national TV channels to twenty minutes a day, forcing advertisers to switch from state-run TV to private channels. Certain products are banned altogether from certain media, or from advertising in certain countries.*
- *A number of countries have complete bans on cigarette advertising*

Trade Shows and Exhibitions

- *Trade shows and exhibitions are other promotion vehicles that are increasingly important in the promotional mix, especially for industrial products and in the international marketplace.*
- They are important marketing strategies for companies to showcase their products & services to a wider audience.
- *A trade show is a marketing event where companies show their products and services to the public in order to promote awareness.*

Sponsorship Promotion

- *Sponsorship can be used to increase awareness and esteem, to build the brand identification, to enhance the brand's positioning and sales, and to circumvent advertising restrictions in some countries.*
- *Examples of global sponsorship are the Olympics, the World Cup in Soccer, English premier League, Spain la Liga, Italian serie A, African Cup of Nation and Tour de France etc.*

Direct marketing

- *It is a form of advertizing that allows businesses to communicate directly with their target audience through various channels such as email, telemarketing or SMS.*
- ***Telemarketing:** It is a form of direct marketing that involves using the telephone to reach potential customers and promote a product or service.*